How the Stock Market Works

Introduction to the Stock Market

The stock market is a marketplace where shares of companies are bought and sold. It connects companies that need money to grow with investors who want to earn returns on their savings. Through the stock market, a company can raise funds by selling small parts of its ownership to the public, and investors can become part-owners of businesses, sharing in their profits and growth. The stock market is also a barometer of the economy, since share prices reflect expectations about corporate profits and economic conditions. Stock exchanges in India are Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).

What Is a Share?

A share, also called a stock or equity, is a unit of ownership in a company. When you buy a share of a company, you become a shareholder and own a small part of that company. For example, if a company has 1,000 shares and you hold 10, you own 1 percent of it. Shareholders may earn money in two ways: through dividends, which are a share of the company's profits paid out to shareholders, and through capital gains, which means selling the share at a higher price than what you paid. Shareholders have the right to vote on important company matters in general meetings. There is also a risk: if the company does poorly, the share price can fall and the investor can lose money. Preference shares and equity shares are the two main types, while bonds are debt instruments, not ownership. A company with shares listed on an exchange is called a listed company, and its total value, called the market capitalisation, is the share price multiplied by the number of shares.

Primary and Secondary Markets

In the primary market, companies issue new shares directly to investors, for example through an Initial Public Offering (IPO), when a private company first offers its shares to the public. In the secondary market, investors buy and sell existing shares among themselves on the stock exchange, and the company does not receive the money. Buying and selling are done through a stockbroker using a demat account, which holds shares in electronic form and is linked to a trading account and a bank account. Depositories in India are NSDL and CDSL. Trading takes place on weekdays from 9:15 am to 3:30 pm Indian Standard Time. Since January 2023, India's markets use T+1 settlement, which means that trades are settled one working day after the trade, among the fastest in the world. Share prices go up and down according to supply and demand: if more people want to buy than sell, the price rises, and the reverse happens when more want to sell.

Stock Exchanges

The Bombay Stock Exchange (BSE), established in 1875, is the oldest stock exchange in Asia. It began when a group of brokers met under a banyan tree in front of the Town Hall in Mumbai, and Premchand Roychand was a leading broker. It is located at Dalal Street, Mumbai. The National Stock Exchange (NSE) was incorporated in 1992 and started trading in 1994 as the first fully electronic exchange in India; it is now the largest exchange in India by trading volume and one of the largest in the world in derivatives. Other exchanges once existed, such as the Madras Stock Exchange, which was established in 1920 and wound up in 2015.

What Are the Sensex and Nifty?

A stock market index is a number that measures the performance of a group of selected shares and indicates how the market is doing overall. The Sensex, short for "Sensitive Index", is the benchmark index of the BSE and tracks the performance of 30 large, well-established companies from various sectors. It was launched in 1986, with a base year of 1978-79 and a base value of 100. The Nifty 50, the benchmark index of the NSE, tracks 50 large companies from many sectors, and the name combines "National" and "Fifty". It was launched in 1996, with the base date of 3 November 1995 and a base value of 1,000. Index values are computed by free-float market capitalisation weighting. When the Sensex or Nifty rises, it generally means that the shares of big companies are going up. The Sensex crossed the 80,000 mark for the first time in July 2024, while the Nifty crossed 25,000 in August 2024. Other indices include the Nifty Bank, Nifty Midcap and Nifty IT. A rising market is called a bull market, and a falling one a bear market, from the way a bull thrusts its horns upward and a bear swipes its paws downward.

What Does SEBI Do?

SEBI, the Securities and Exchange Board of India, is the regulator of the securities market in India. It was set up in 1988 and was given statutory powers by the SEBI Act on 12 April 1992, following scandals such as the Harshad Mehta securities scam of 1992. It is headquartered in Mumbai. SEBI's three main aims are to protect the interests of investors, to promote the development of the securities market and to regulate it. It regulates stock exchanges, brokers, mutual funds, depositories and other intermediaries, sets rules for companies issuing shares and for disclosure, prevents insider trading, fraud and market manipulation, investigates complaints, penalises violators, runs investor education programmes, and offers a complaint platform called SCORES. SEBI also regulates mutual funds, portfolio managers, and foreign portfolio investors, and has introduced rules for IPO transparency and the research analysts and investment advisers.

Why Do Prices Move?

Share prices are affected by company results, news, demand and supply, interest rates, inflation, government policy, global events, oil prices, foreign investment flows and investor sentiment. Over the short term, prices can be volatile, but over the long term the stock market has historically given higher returns than many other assets, though with no guarantee.

Investing Wisely

Beginners should learn before investing, invest only money not needed in the near term, diversify, think long term, avoid tips and rumours, and avoid borrowing to invest. Mutual funds and index funds are options that spread risk. Investors should check that brokers are registered with SEBI. Over 18 crore demat accounts exist in India, showing the growing participation of retail investors. This document is educational and not investment advice.

Challenges and Future

Challenges include fraud, speculation in derivatives, social media tips and investor losses. The future includes more retail participation, digital platforms and increased regulation.

Quick Facts

- A share is a unit of ownership in a company; shareholders earn dividends and capital gains.
- The Sensex tracks 30 companies of the BSE; the Nifty 50 tracks 50 companies of the NSE.
- SEBI regulates the securities market and protects investors; it got statutory powers in 1992.
- The BSE was established in 1875 and is the oldest stock exchange in Asia.
- Indian markets trade from 9:15 am to 3:30 pm on weekdays.